

ACTUARIAL MEMORANDUM (SPECIMEN)

PURPOSE AND SCOPE

This specimen memorandum illustrates the structure of an actuarial support document accompanying a California Personal Auto prior-approval rate filing. It would ordinarily be prepared and signed by a credentialed actuary (e.g., FCAS/MAAA) and address indicated versus selected rate level change, by coverage, supported by the insurer's California premium and loss experience.

INDICATED VS. SELECTED RATE LEVEL CHANGE (ILLUSTRATIVE)

Coverage	Indicated Change	Selected Change	Actuarial Rationale (summary)
Bodily Injury Liability	+5.1%	+3.2%	Selection reflects credibility-weighted trend and expense provision.
Property Damage Liability	+4.0%	+3.2%	Capped per company rate-change management guideline.
Collision	+7.8%	+6.1%	Reflects rising repair costs and average cost per claim severity trend.
Comprehensive	+9.0%	+6.1%	Reflects glass and weather-related claim frequency increases.
Overall	+6.2%	+4.8%	Statewide weighted average across all coverages and territories.

LOSS DEVELOPMENT AND TREND

Losses were developed to ultimate using a specimen 5-year historical accident-year triangle and trended forward to the average date of loss in the proposed policy period using separately selected frequency and severity trend factors by coverage. Credibility was assigned using the square-root rule based on CA earned exposures.

EXPENSE AND PROFIT PROVISION

Commission & Brokerage	12.0%
General Expense	6.5%
Taxes, Licenses & Fees	2.3%
Underwriting Profit & Contingencies Provision	4.0%
Investment Income Offset	(1.8%)

GOOD DRIVER DISCOUNT COMPLIANCE

The Good Driver Discount factor of 0.80 (a 20% discount) applied to Liability, Medical Payments, and Collision premium for qualifying insureds satisfies the minimum discount required under Cal. Ins. Code § 1861.02. Supporting loss ratio relativity analysis by Good Driver status is summarized in Exhibit A (not reproduced in this specimen).

Actuarial Certification (Specimen)

I certify that, in my opinion, the rates and rating plan set forth in this filing are not excessive, inadequate, or unfairly discriminatory. This certification is illustrative only and is not signed by an actual credentialed actuary.

Specimen Actuary Signature Block – FCAS, MAAA (fictional)

This is a fictional specimen created for illustrative and training purposes only. It does not represent an actual SERFF filing, an actual CDI record, or an actual rate/form approval. "Pacific Meridian Mutual Insurance Company" is not a real insurer, and all tracking numbers, contacts, and figures are invented. Real, publicly filed rate and form filings for any licensed California insurer can be searched at filingaccess.serff.com/sfa/home/CA.

SPECIMEN